

Alphabet Inc.

GOOGL

Communication Services

RATING

PRICE

TARGET

Outperform

\$349.94

\$375.00

MARKET CAP	P/E (FWD)	P/B RATIO
\$4,233.38B	28.7x	9.13x
ROE	DIV. YIELD	52W RANGE
31.8%	0.24%	\$147.84 - \$355.79

Investment Thesis

“Alphabet Inc. demonstrates robust financial momentum, with revenue compounding at 11.8% annually to reach approximately \$403 billion in 2025 while EBITDA margins expanded meaningfully to 44.7%, reflecting disciplined cost management and operating leverage. The company commands a dominant competitive position among large-cap technology peers, generating the highest absolute EBITDA of \$180 billion in 2025 versus Meta at \$105 billion and Microsoft at \$160 billion, with forward estimates projecting margin expansion toward 51.7% by 2027. Trading at a 2025E EV/EBITDA of approximately 21.2x and a forward P/E of 27.3x, Alphabet appears reasonably valued relative to its growth trajectory, with EPS expected to grow from \$10.91 in 2025 to \$13.01 by 2027, underpinning a compelling risk-reward profile for long-term investors.

Company Overview

Alphabet Inc. (GOOGL) is a global technology conglomerate and the parent company of Google, one of the world's most recognized and widely used digital platforms. Founded in 1998 and restructured under the Alphabet umbrella in 2015, the company operates across several high-impact business segments that collectively define its diversified yet interconnected revenue model.

At its core, Alphabet generates the vast majority of its revenue through Google Services, which encompasses Google Search, YouTube, Google Maps, Google Play, and its suite of advertising products. Search advertising

remains the dominant revenue driver, leveraging the company's unmatched data infrastructure and user base to deliver highly targeted, performance-driven marketing solutions to businesses worldwide. Google Cloud, the company's rapidly growing enterprise segment, provides infrastructure, data analytics, and artificial intelligence services to corporate clients, representing an increasingly important pillar of future growth. Beyond these, Alphabet's Other Bets segment houses moonshot ventures in areas such as autonomous driving through Waymo, life sciences via Verily, and various early-stage technology initiatives.

Alphabet occupies a commanding position in the global digital advertising market, competing primarily with Meta Platforms and Microsoft. In terms of EBITDA, Alphabet has demonstrated clear leadership over its peers, generating approximately 180 billion dollars in 2025 compared to Meta's 104.5 billion and Microsoft's 160.2 billion. Its EV/EBITDA multiple of 21.2 in 2025 reflects a premium valuation relative to Meta but remains below Microsoft's historically elevated multiple, suggesting a balanced market perception of growth and stability.

Financially, Alphabet has delivered strong and accelerating performance. Revenue grew from approximately 258 billion dollars in 2021 to nearly 403 billion in 2025, representing a compound annual growth rate of 11.8 percent. Perhaps more impressive is the company's expanding profitability profile. EBITDA margins have climbed meaningfully from 40.2 percent in 2021 to 44.7 percent in 2025, with forward estimates projecting margins approaching 52 percent by 2027, driven by operating leverage, disciplined cost management, and the scaling of higher-margin cloud and AI-related revenues. Contribution margins have similarly trended upward, reaching nearly 60 percent in 2025.

Earnings per share have grown from 5.69 dollars in 2021 to 10.91 dollars in 2025, with estimates pointing toward 13.01 dollars by 2027. The company's SG&A margin has also improved, declining from 15 percent in 2022 to a projected 11 percent by 2027, reflecting ongoing efficiency initiatives. Overall, Alphabet presents a compelling profile of scale, profitability expansion, and durable competitive positioning in both advertising and cloud computing.

Investment Overview

Alphabet Inc. (GOOGL) Investment Update

Alphabet delivered a strong fiscal 2025, reporting revenue of approximately **\$403 billion**, representing **15.1%** year-over-year growth and accelerating from the **13.9%** recorded in 2024. EBITDA reached **\$180 billion**, translating to an EBITDA margin of **44.7%**, a meaningful expansion from **38.7%** in the prior year and a significant recovery from the trough of **30.1%** seen in 2022. Earnings per share grew to \$10.91, up from \$8.13 in 2024, reflecting both operational leverage and disciplined cost management. Contribution margins have steadily improved, reaching **59.7%** in 2025, underscoring the inherent scalability of Alphabet's core advertising and cloud businesses.

Key growth drivers include continued strength in Google Search and YouTube advertising, rapid expansion of Google Cloud, and increasing monetization of AI-integrated products across the platform. SG&A as a percentage of revenue has declined to **12.5%**, signaling improved operational efficiency following the cost restructuring initiatives undertaken in recent years.

Looking ahead, estimates project revenue growing to approximately **\$466 billion** by 2027, with EBITDA margins expanding further toward **51.7%**. EPS is forecast to reach **\$13.01** by 2027, supporting a declining forward PE ratio from **27.3x** to **24.6x**, suggesting improving valuation attractiveness over the period.

On a peer basis, Alphabet's EBITDA growth trajectory compares favorably against Meta and Microsoft, with its EV/EBITDA multiple of **21.2x** in 2025 remaining at a modest premium to Meta but a meaningful discount to Microsoft's **23.6x**, reflecting reasonable relative value.

Overall, Alphabet's combination of durable revenue growth, expanding margins, and AI-driven catalysts supports a constructive investment outlook.

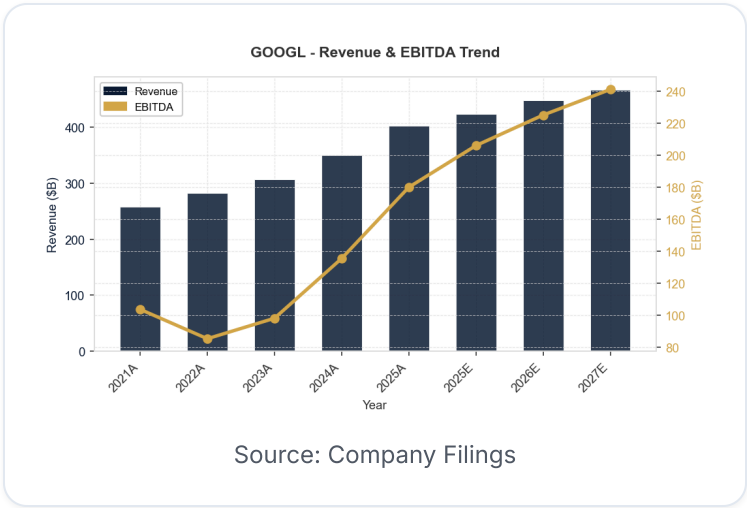
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$402.96B
EBITDA (2025A)	\$179.96B
Revenue Growth (2025A)	15.1%

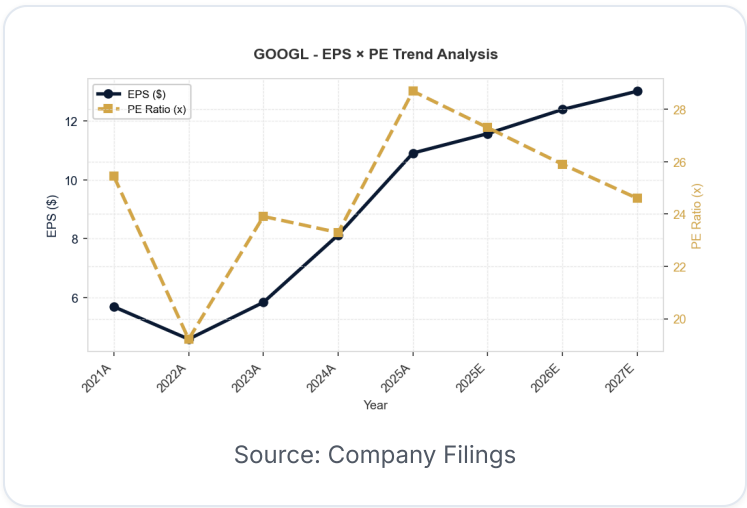


Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	10.91
PE Ratio (2025A)	28.69



Valuation Analysis

Alphabet Inc. (GOOGL) Valuation Analysis

Current Valuation Metrics

Alphabet trades at a trailing P/E of approximately **28.7x** on 2025 actual earnings of \$10.91 per share, with forward multiples compressing to **27.3x** and **25.9x** on 2025E and 2026E estimates, respectively. The current EV/EBITDA stands at **21.2x** on 2025 actuals, a notable premium to its 2022 trough of **13.6x**, reflecting the market's renewed confidence in Alphabet's AI-driven growth narrative and sustained margin expansion. EBITDA margins have shown remarkable improvement, rising from **30.1%** in 2022 to **44.7%** in 2025, with estimates projecting further expansion toward **51.7%** by 2027, underpinned by operating leverage across Search, Cloud, and YouTube segments.

Peer Comparison

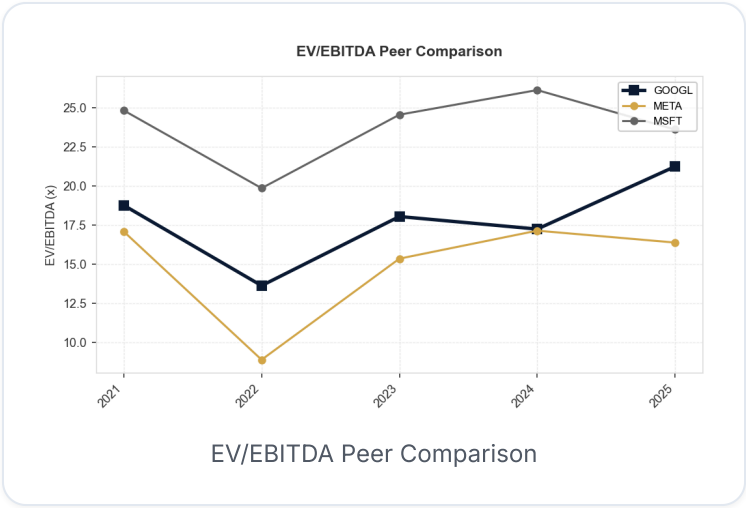
Relative to peers, Alphabet's EV/EBITDA of **21.2x** sits above Meta's **16.4x** but meaningfully below Microsoft's **23.6x**, suggesting a reasonable middle-ground valuation. In absolute EBITDA terms, Alphabet leads the peer group at **\$180 billion** in 2025, surpassing both Meta at **\$104.5 billion** and Microsoft at **\$160.2 billion**. This operational scale advantage, combined with a more attractive multiple than Microsoft, positions Alphabet favorably on a risk-adjusted basis.

Fair Value Assessment

Given projected EPS of \$12.39 in 2026 and applying a peer-adjusted forward P/E of approximately **26x** to **27x**, a fair value range of **\$322 to \$334** per share appears supportable. Revenue growth moderating to 4 to 6 percent annually through 2027 introduces some caution, but continued margin expansion and strong free cash flow generation provide meaningful downside protection. Overall, GOOGL appears fairly valued to modestly undervalued at current levels.

Peer Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) Summary - April 29, 2026

Alphabet delivered a standout earnings performance in Q1 2026, emerging as the clear winner among Big Tech on a monster earnings day. The company reported EPS of \$5.11, nearly doubling the consensus estimate of \$2.64, and significantly ahead of the \$2.81 reported in the prior year period. Revenue and earnings both beat expectations, driving GOOGL shares higher while peers like Meta faced selling pressure despite their own beats.

The most significant development was Google Cloud surpassing **\$20 billion** in quarterly revenue for the first time, representing **63%** year-over-year growth. Management noted the growth was actually capacity-constrained, suggesting even stronger demand exists than reported results reflect. This is a critical signal for

investors, as it implies continued capital expenditure is directly tied to revenue opportunity rather than speculative spending.

Alphabet is also accelerating its transformation of core Search into a transaction engine, with AI Mode shifting from experimental to operational. The company confirmed openness to introducing advertising within its Gemini AI app, which could unlock a significant new monetization layer. Investors clearly differentiated Alphabet's AI spending narrative from Meta's, rewarding Alphabet's capex guidance increase while punishing Meta's similar announcement.

Financially, the trajectory remains compelling. EBITDA margins are projected to expand from **44.7%** in 2025 to **51.7%** by 2027, while EPS is expected to grow steadily toward **\$13.01**. The stock trades at roughly **25.9x** 2026 estimated earnings, a reasonable multiple given the growth profile.

Retail sentiment is broadly elevated with buzz scores above 80 across Reddit and X, though Reddit shows notably lower bullish conviction at **38%**, suggesting some skepticism among retail investors despite institutional enthusiasm. Overall, Alphabet presents a strong near-term investment case driven by cloud momentum and AI monetization.

Retail Sentiment Insights

AVERAGE BUZZ 79.6/100	BULLISH AVG 58.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 83.6/100 Bullish 38.0% Mentions 3117 Trend rising	X.com Buzz 84.2/100 Bullish 67.0% Mentions 2850 Trend rising	Polymarket Buzz 71.1/100 Bullish 69.0% Trades 3638 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **48.7%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **50.2%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **51.7%**

Confidence Intervals:

- Revenue: **\$329.3B - \$603.6B (95% confidence)**
- EBITDA: **\$170.3B - \$312.0B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$329.3B — \$603.6B
EBITDA	\$170.3B — \$312.0B

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-29): Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Google Cloud surpasses \$20B but says growth was capacity-constrained
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-29): Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- Impact: HIGH, Probability: **95%**
- **Product Launch** (2026-04-29): 5 Things to Know Before the Stock Market Opens

- Impact: MEDIUM, Probability: **70%**
- **Earnings** (2026-04-29): Buying Alphabet stock before Q1 earnings? Here's why you should think twice
- Impact: HIGH, Probability: **95%**

Events to Monitor

- Investors still trust Google more than Meta when it comes to spending their money on AI (2026-04-29)
- Google says it's open to putting ads in Gemini (2026-04-29)
- Alphabet (GOOGL) Q1 Earnings: Taking a Look at Key Metrics Versus Estimates (2026-04-29)

Upcoming Catalysts

- ▲ **EARNINGS** Impact: medium
Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- ▲ **EARNINGS** Impact: medium
Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- ▲ **EARNINGS** Impact: medium
Google Cloud surpasses \$20B but says growth was capacity-constrained
- ▼ **EARNINGS** Impact: medium
Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- ▲ **EARNINGS** Impact: medium
Google gains 25M subscriptions in Q1, driven by YouTube and Google One

Positive Catalysts

- ✓ Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- ✓ Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- ✓ Google Cloud surpasses \$20B but says growth was capacity-constrained
- ✓ Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- ✓ Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- ✓ Alphabet stock surges 5% as sales beat estimates
- ✓ Google Stock Climbs On Q1 Earnings As Cloud Revenue, 'Backlog' Booms
- ✓ Google Reports 81% Jump in Profits, Beating Wall Street Expectations
- ✓ Alphabet's cloud unit beats quarterly revenue estimates on strong AI demand

- ✓ [Ca\\$htag\\$: GOOGL Surges on Exploding Cloud Growth](#)
- ✓ [Meta, Amazon, Google Face AI Reality Check: Can New Revenue Justify Billions In Spending?](#)
- ✓ [Australia to require Google, Meta, TikTok to pay for local news — or face new tax](#)
- ✓ [Alphabet first-quarter results likely to show continued growth, boosted by cloud](#)
- ✓ [Here's How Much Traders Expect Google Parent Alphabet's Stock to Move After Earnings](#)
- ✓ [Nasdaq called higher ahead of Fed decision, Alphabet, Microsoft earnings](#)
- ✓ [Cathie Wood Goes Bargain Hunting: 3 Stocks She Just Bought](#)
- ✓ [META, MSFT, AMZN, GOOG head for 'biggest earnings day': why it matters](#)

Risk Factors

- ⚠ [Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge](#)
- ⚠ [5 Things to Know Before the Stock Market Opens](#)
- ⚠ [Buying Alphabet stock before Q1 earnings? Here's why you should think twice](#)

Technical & Advanced Analysis

Technical Overview — GOOGL

Current Price: **\$349.94** | 52-Week Range: **\$147.84 - \$355.79**

Overall Technical Signal: **Bullish**

Moving Averages **Bullish**

SMA 50: **\$312.23** | SMA 200: **\$279.11**

RSI **Overbought**

RSI (14): **77.6** — Overbought territory, potential pullback.

MACD **Bullish**

MACD: **11.71** | Signal: **9.60** | Histogram: **2.11**

Volume **Normal**

Latest: **31.0M** | 20d Avg: **24.4M** | Ratio: **1.27x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
META	\$55.3B	\$37.7B	\$59.1B	\$86.9B	\$104.5B	\$128.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Alphabet Inc. (GOOGL) competes primarily with Meta Platforms and Microsoft in the digital advertising and cloud computing sectors. Across key financial metrics, Alphabet demonstrates a strong and improving financial profile relative to its peers.

In terms of absolute EBITDA generation, Alphabet has consistently led the group, growing from approximately **\$103.5 billion** in 2021 to nearly **\$180 billion** in 2025, outpacing both Meta and Microsoft. Meta, while showing strong recovery after a difficult 2022, reached roughly **\$104.5 billion** in 2025 EBITDA, still well below Alphabet. Microsoft is the closest competitor, reaching approximately **\$160 billion** in 2025, though it trails Alphabet by a meaningful margin. Looking ahead to 2026 estimates, Alphabet is projected to maintain its lead at around **\$211 billion** versus Microsoft at **\$188 billion** and Meta at **\$129 billion**.

On valuation, Alphabet trades at an EV/EBITDA multiple of approximately **21.2x** in 2025, which sits above Meta at **16.4x** but below Microsoft at **23.6x**. This suggests the market views Microsoft's growth profile, driven by its Azure cloud and AI integrations, as commanding a premium, while Meta is considered relatively undervalued or carries higher perceived risk.

Alphabet's EBITDA margin expansion from **40.2%** in 2021 to **44.7%** in 2025, with estimates approaching **50%** by 2026, reflects strong operational discipline and scale advantages. Revenue growth of **11.8%** CAGR over the period further reinforces Alphabet's competitive positioning. Overall, Alphabet presents a compelling blend of scale, profitability, and reasonable valuation relative to its closest peers.

Risk Factors

Alphabet Inc. (GOOGL) — Key Investment Risks

- **Revenue Growth Deceleration:** Projected revenue growth drops sharply from **15.1% (2025A) to 4.0% (2027E)**, signaling potential saturation in core advertising markets and raising concerns about sustainable long-term top-line expansion
- **Valuation Premium vs. Peers:** GOOGL's forward EV/EBITDA of **21.2x (2025)** trades at a meaningful premium to META (**16.4x**), leaving limited margin of safety if EBITDA margin expansion targets of **~52% by 2027E** are missed or delayed
- **EBITDA Margin Execution Risk:** Projected EBITDA margins assume aggressive expansion from **44.7% (2025A) to 51.7% (2027E)**, requiring disciplined cost control in an environment of heavy AI infrastructure capex that could pressure Cost of Operations, which already totals **\$162.5B**
- **Competitive Pressure from Microsoft:** MSFT's EBITDA surpassed GOOGL in **2022–2023** and remains closely competitive at **\$160B (2025A)**, reflecting intensifying rivalry in cloud and AI-driven search that threatens Google's core advertising dominance
- **Regulatory & Antitrust Exposure:** Alphabet's concentrated revenue dependency on Search and advertising (**~\$350B+ revenue base**) makes it acutely vulnerable to ongoing DOJ antitrust actions, which could structurally disrupt its distribution agreements and monetization model, undermining EPS growth projections of **\$13.01 by 2027E**

Key Takeaways

Revenue Growth

Alphabet has demonstrated consistent and accelerating top-line expansion, with revenue growing from **\$257.6B in 2021 to \$403.0B in 2025**, reflecting a **5-year CAGR of 11.8%**. Growth momentum peaked at **15.1% in 2025**, though forward estimates project a moderation to **4–6%** through 2027, suggesting a more mature, steady-state growth profile.

Gross Profit Margin (Contribution Margin)

Alphabet's contribution margin has shown a steady upward trajectory, improving from **56.9% in 2021 to 59.7% in 2025**, with estimates reaching **62.7% by 2027**. This expansion reflects disciplined cost-of-operations management relative to revenue scale, underscoring Alphabet's strong operating leverage and pricing power across its core advertising and cloud businesses.

SG&A Expense Margin

SG&A efficiency has meaningfully improved, with the SG&A margin declining from a peak of **15.0% in 2022 to 12.5% in 2025**, and projected to compress further to **11.0% by 2027**. This trend signals that Alphabet is successfully leveraging its existing commercial infrastructure while exercising greater cost discipline in sales and administrative functions.

EBITDA Margin

EBITDA margin has undergone a remarkable recovery and expansion, surging from a trough of **30.1% in 2022 to 44.7% in 2025**, with estimates projecting **51.7% by 2027**. This trajectory significantly outpaces peers META and MSFT in recent years, reinforcing Alphabet's position as an increasingly high-margin, scalable business driven by AI-enhanced productivity and cloud growth.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	-	9.8%	8.7%	13.9%	15.1%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
EBITDA/Int Exp	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.9	2.4	2.1	1.8	2.0
Cash Flow to Debt Ratio	3.23	3.08	3.75	4.92	2.78

AI4Finance Foundation FinRobot Equity Research

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